

Article | 19 August 2026

RATES SPARK

## Rates Spark: The Treasury's plan for the back end

It's clear that the US Treasury is ready to place a limit to the upside for longer-dated yields. The impact of the increased buybacks is not so much on the doubling of them in long dates, but more so on the implied reality that they could be doubled again, and again if needed. But given what we have now, and until then, upward pressure on long yields will remain



With the US Treasury doubling the buybacks of long-dated bonds, there is the possibility they could do it again and again

As noted [here](#), the Treasury's decision to increase buybacks in longer durations smacks of discomfort with the sell-off seen in longer tenor Treasury securities of late. It's been impactful, with the 10-30-year yields down 5-10bp to begin with. The official genesis of the buyback programme, back in May 2024, was to bolster liquidity, and indeed, that was the rationale employed to explain away the announced doubling of buyback sizes in the 10yr to 30yr maturities. If we annualise the quarterly rhythm, that nets an additional US\$18bn of buybacks through these tenors. That stretches the buyback programme from US\$38bn to US\$56bn (of which US\$36bn in the 10-30 yrs). On top of that, there is US\$25bn in the 1-2 year area for cash management purposes. While the entire buyback programme is actually less in size than one regular 2yr auction event, it's still chunky.

We've also made the point that these buybacks need to be subsequently re-financed. And they do. However, the important nuance here is that for any given steady-state coupon issuance rhythm (which we've had and are likely to continue to have), any additional buybacks must, by definition, be financed through extra bills issuance (as bills are the variable that the Treasury must deploy with on a fixed bond issuance programme). This morphs the impact of the additional buybacks into a structural impact on long-dated bonds outstanding, as they effectually get replaced by rolling bills issuance. It's a zero-sum game from the Treasuries perspective, but from the markets' perspective, it adds to bills issuance, and has a bigger effect through lower long-duration net issuance.

We'd maintain the view that this move is unlikely on its own to change the trajectory for long-end yields. It does mute it though. And moreover, it reminds the market that the Treasury could double the long tenor buyback sizes again, and again if needed. That's the real kicker from this move: the anticipation for more should long-dated yields decide to morph higher again in an overly sinister fashion in the days and weeks and months ahead. Given that, we'd continue to identify upward pressure on long-end yields as a dominant factor that the market will need to deal with. But muted it absolutely is.

Note that this is not quantitative easing. It is long-end buying by the Treasury, effectively financed through buying more bills. As a stand-alone factor, it places a flattening impulse on the curve, thus muting the net steepening that we continue to anticipate. We're still of the opinion that the 10yr yield has a risk factor move in it to the 4.75% to 5% zone. And for now, it's unlikely to get much below 4.5%, but one thing has become more clear from this is any move above 5% (or even the material threat thereof), would likely be actively resisted/prevented by the US Treasury Department.

### Author

**Padhraic Garvey, CFA**

Regional Head of Research, Americas

[padhraic.garvey@ing.com](mailto:padhraic.garvey@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose

possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

Article | 5 August 2026

# Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

## Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

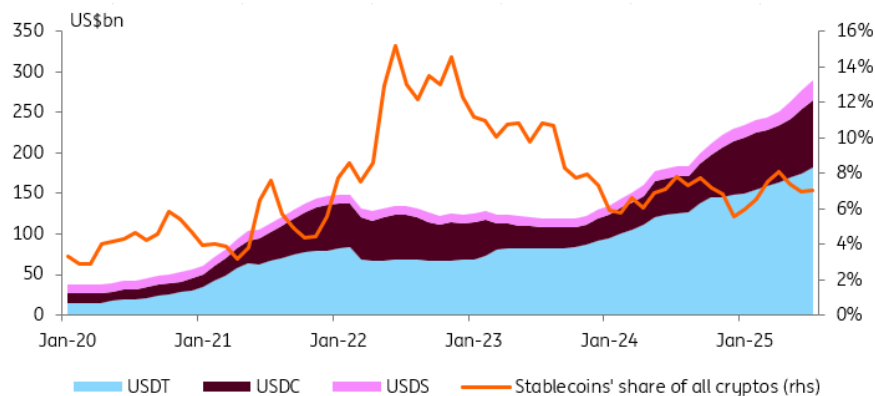
### What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

## Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

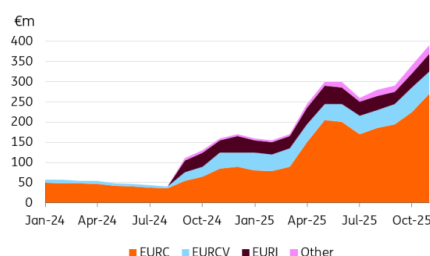


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

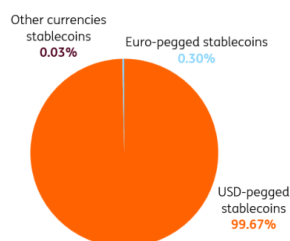
Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

## Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

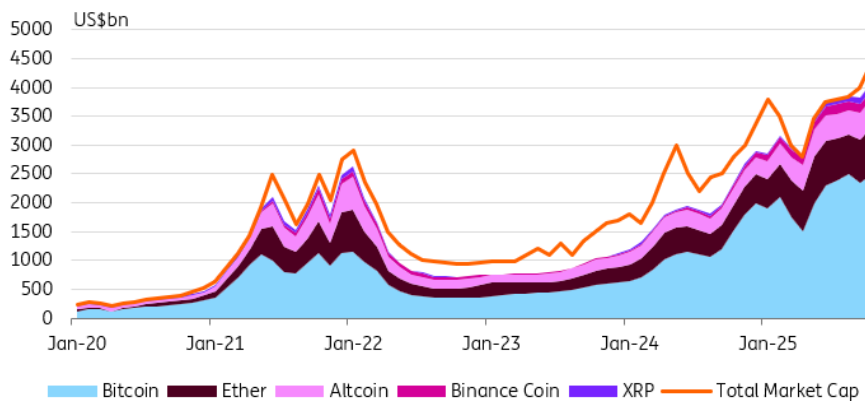
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

## How do stablecoins differ from other digital & crypto currencies?

### Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

### Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

### Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,



tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

### Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [\*The digital euro is making progress, European banks should pay attention\*](#).

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.



## Currencies comparison table

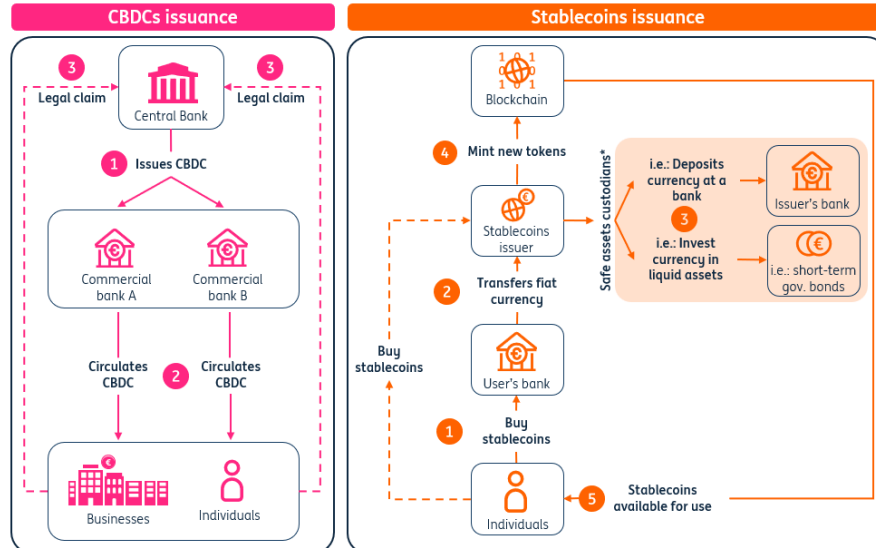
|                                           | Stablecoins                                   | CBDCs                                   | 'Real' cryptos           | Tokenised deposits                 | Bank deposits | Cash |
|-------------------------------------------|-----------------------------------------------|-----------------------------------------|--------------------------|------------------------------------|---------------|------|
| Digital                                   | ✓                                             | ✓                                       | ✓                        | ✓                                  | ✓             | ✗    |
| Public                                    | ✗                                             | ✓                                       | ✗                        | ✗                                  | ✗             | ✓    |
| Blockchain use                            | ✓                                             | ~                                       | ✓                        | ✓                                  | ✗             | ✗    |
| Programmable                              | ✓                                             | ~                                       | ✓                        | ✓                                  | ~             | ✗    |
| Use without intermediaries                | ✓                                             | ~                                       | ✓                        | ✗                                  | ✗             | ✓    |
| Large price volatility                    | Limited by pegging mechanism                  | ✗                                       | ✓                        | ✗                                  | ✗             | ✗    |
| Means of payment role                     | ✓                                             | ✓                                       | Not in the wider economy | ✓                                  | ✓             | ✓    |
| Unit of account role (used for invoicing) | ✓                                             | ✓                                       | Not in the wider economy | ✓                                  | ✓             | ✓    |
| Store of value role                       | Potential, especially if remuneration allowed | Not if implementation of holding limits | ✗                        | Linked to real-world bank deposits | ✓             | ✓    |
| Regulation                                | Fragmented                                    | National                                | Fragmented               | ✓                                  | ✓             | ✓    |

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

## CBDCs versus stablecoins issuance flow



Source: ING Research \*examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

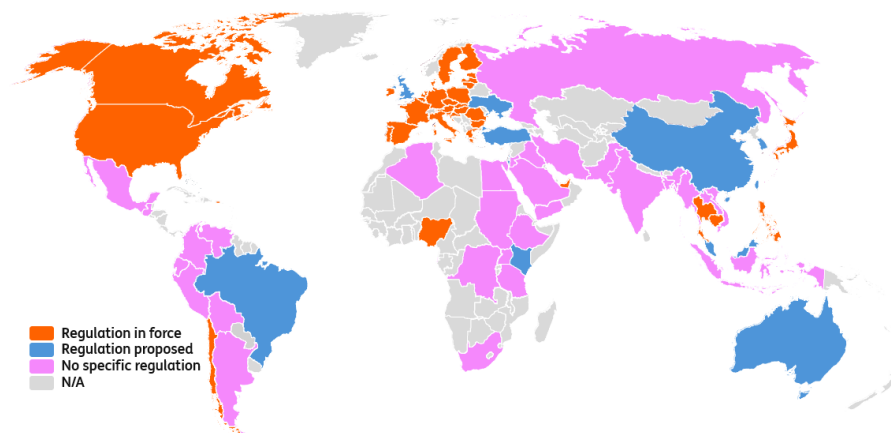
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

### **Large regulatory differences and crucial remuneration uncertainty**

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

## Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

## Summary of the US, EU and UK stablecoins regulatory frameworks

|    |                                               | US <sup>1</sup> Genius Act          | EU MiCAR                                                       |                               | UK <sup>2</sup> Regulation |                                               |
|----|-----------------------------------------------|-------------------------------------|----------------------------------------------------------------|-------------------------------|----------------------------|-----------------------------------------------|
|    |                                               |                                     | E-money institute                                              | Credit institution            | Non-systemic issuers       | Systemic issuers                              |
| 1. | Access to central bank, lender of last resort | Case-by-case Fed decision           | Forbidden                                                      | No restrictions               |                            | Bank of England considering backstop facility |
|    | Central Bank deposit                          | Case-by-case Fed decision           | Forbidden                                                      | Allowed                       | Allowed                    | Required i) ≥30% of assets; ii) upremunerated |
| 2. | Asset investment policy                       |                                     |                                                                |                               |                            |                                               |
|    | Commercial bank deposit                       | Allowed upper limit to be specified | Required ≥60% of assets (≥30% if non-systemic)                 | Allowed                       | Allowed                    | Forbidden                                     |
|    | Government bonds                              | Allowed ≤3m maturity                | Allowed <40% of assets (<70% if non-systemic)                  | Allowed                       | Allowed                    | Allowed <70% of assets                        |
| 3. | Stablecoins remuneration                      | Forbidden for issuer only           | Forbidden for issuer and crypto-asset service providers (CASP) | Forbidden for issuer and CASP | Forbidden for issuer       | Forbidden for issuer                          |
| 4. | Issuance guardrail                            | None                                | None                                                           | None                          | N/A                        | Temporary £40bn                               |

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

## ...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

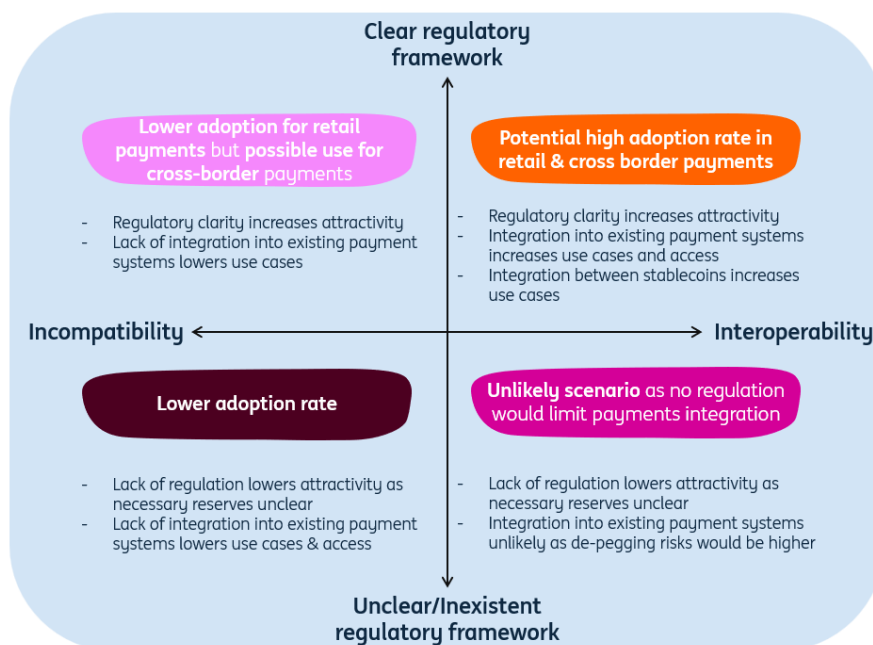
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

### Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

### Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

### **Stablecoins are growing but the jury is still out on how big they'll get**

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.



### Regulatory footnotes

#### The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

#### The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

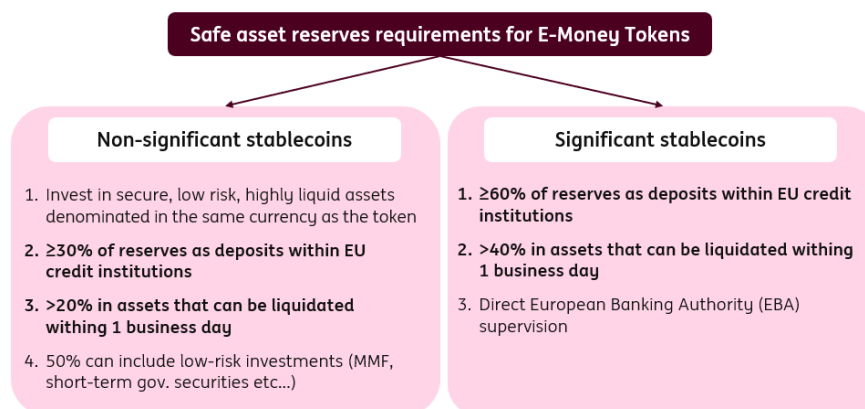
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

**Stablecoins are considered significant when (but not only):**

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

### MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

### The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

### Author

**Marine Leleux**

Sector Strategist, Financials

[marine.leleux2@ing.com](mailto:marine.leleux2@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

Article | 21 August 2026

FX

## FX Daily: Much ado about buybacks, softer dollar

This week's US Treasury intervention in the bond market has caused much furore amongst the buy and sell-side financial community alike. We see the move more as a signalling tool that the US Treasury has a problem with high bond yields and wants to address it. For the time being, we favour this triggering a benign, risk-friendly dollar decline



Most paths lead to a weaker dollar; we prefer the pro-risk route

### ↓ USD: Most paths favour a softer dollar

Many commentators seem to be treating this week's US Treasury intervention in bond markets as a heinous financial crime. We prefer to take the view offered by a former US Treasury official interviewed in the Financial Times today that this was a [signalling exercise](#). Yes, these buy-back operations were originally designed to address market liquidity issues and the off-cycle nature of the adjustment has raised eyebrows. But the main takeaway has to be that higher longer-dated Treasury yields are firmly on the Treasury's radar and need to be addressed. US Treasury Secretary Scott Bessent suggested yesterday that there might be some new fiscal consolidation plans incoming. These could centre on a task force to cut back on fraud in the same way that Elon Musk's DOGE tried to cut back on government spending. Most are sceptical that this will make any dent in the near 6% budget deficit, but let's see what

is announced.

For the dollar, quite a few are comparing this week's Treasury buybacks to President Donald Trump's 'Liberation Day' tariffs and concluding this again undermines US policy credibility. During that period in April 2025, the Swiss franc, the euro and the yen led the charge against a weaker dollar. We see this week's developments less as a policy credibility story and more as a soft dollar, pro-risk story if the US Treasury is taking a greater interest in protecting the long end. That probably means a gentler dollar decline and some outperformance of high-beta commodity currencies and emerging market currencies in general. If we're wrong and Treasuries and equities start selling off hard, then the story would revert to a lower USD/CHF, higher EUR/USD and high-yield FX selling off as volatility rises.

On today's US calendar are the S&P PMI readings for August – all expecting continued expansion in activity.

DXY has support in this 98.65/70 region and will probably struggle to make it back above 99.00 now.

*Chris Turner*

### 📈 **EUR: US fiscal consolidation would be EUR/USD positive**

EUR/USD remains well supported, and, as above, we favour the kind of benign decline in the dollar that tends to float all boats. Not that anyone is expecting it, but should some true US fiscal consolidation emerge, the combination of tighter fiscal policy and looser monetary policy would be dollar-negative. Fiscal consolidation seems unlikely though, with Washington wanting to spread its pro-growth mindset to the entire G20 when finance ministers and central bank governors meet later this month.

Today's eurozone data calendar focuses on the August PMIs. For the eurozone as a whole, these are expected to indicate a continued mild expansion and one which supports another European Central Bank hike in September. There will also be focus on the ECB's Consumer Expectations Survey, where three-year inflation expectations reached 3.0% in March and are expected to remain elevated at 2.8%.

With emerging market currencies performing well, we prefer a continued gentle rise in EUR/USD. High natural gas prices remain a concern, but since the eurozone economy seems to be coping with these better now, EUR/USD can focus on the soft dollar story.

EUR/USD can consolidate in a tight 1.1670-1.1710 range today, before potentially edging higher.

*Chris Turner*

### ↓ CHF: This is not April 2025

Wednesday's US Treasury announcement on buy-backs saw USD/CHF lead the dollar lower. This recalled events of April 2025, when concerns over policy credibility hit all US classes and the dollar, while the Swiss franc was preferred. Our take on this week's events is different. We think the sharp sell-off in USD/CHF was driven by position adjustment after the June narrative of a more hawkish Fed had favoured USD/CHF longs.

If we're right that greater interest in protecting the Treasury market is more a risk-positive story, then volatility will stay low, and interest will remain firm in the carry trade. Here, we think the Swiss franc rather than the yen will increasingly become the preferred funding currency and send EUR/CHF back to 0.9400. We are encouraged by the EUR/CHF bounce back above 0.9350 since Wednesday.

*Chris Turner*

### ↑ ZAR: External environment helps rand

Our softer dollar, pro-risk environment favours high-yielding commodity currencies like the rand. The rand normally has a decent correlation with the Chinese renminbi, which is performing quite well along with large parts of Asian FX. We can see USD/ZAR pressing the April low at 15.92 and then perhaps testing the 15.75/80 area. One area of concern for the rand later this year, however, could be El Niño, where drought conditions could cause some major problems.

*Chris Turner*

## Author

### Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE  
[chris.turner@ing.com](mailto:chris.turner@ing.com)

### Francesco Pesole

FX Strategist  
[francesco.pesole@ing.com](mailto:francesco.pesole@ing.com)

### Frantisek Taborsky

EMEA FX & FI Strategist  
[frantisek.taborsky@ing.com](mailto:frantisek.taborsky@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).



Article | 21 August 2026

ASIA WEEK AHEAD CHINA PHILIPPINES

# Asia week ahead: Philippine rate decision and Singapore, China, Taiwan data

The Philippine central bank is expected to hike rates by 25bp, while data highlights include Singapore inflation, China industrial profits in Taiwan industrial production



## Asia Research highlights of the week

[China's growth imbalance worsened with domestic activity slowing in July](#)

### Philippines: BSP expected to hike rates by 25bp

We continue to expect the Bangko Sentral ng Pilipinas (BSP) to deliver a 25bp rate hike on Thursday, despite recent moderation in headline inflation. While CPI prints in June and July offer some reassurance that prices have peaked, underlying pressures remain elevated. Yet the central bank remains cautious for several reasons, including a recovery in Brent oil prices, food inflation remaining vulnerable to supply-side shocks and recently announced wage

increases.

### **Singapore: Inflation set to accelerate in July**

July CPI inflation is expected to accelerate sharply, driven by electricity tariff adjustments. The pass-through of higher utility costs is likely to extend to core inflation amid increased prices for retail goods and services.

### **China: Industrial profits recovery in focus**

China releases its July industrial profits data on Thursday. Profits have seen a solid recovery this year as sectors such as computers, communications, and electronic equipment significantly outperform thanks to the tech boom. Coal mining and oil and gas extraction had strong first half profits growth as well amid higher energy prices.

### **Taiwan: Industrial production growth to remain strong**

Taiwan releases its July industrial production data on Tuesday. We expect another strong month of growth, thanks to strong performance from the computers, electronic and optical products and semiconductor subcategories. We look for a 23.3% year-on-year increase, broadly stable from June's growth rate.

### **Key events in Asia next week**

## THINK economic and financial analysis

| Country                    | Time (GMT+8) | Data/event                        | ING     | Prev.    |
|----------------------------|--------------|-----------------------------------|---------|----------|
| <b>Monday 24 August</b>    |              |                                   |         |          |
| Singapore                  | 1300         | Jul Core CPI (YoY%)               | 2,2     | 1,6      |
|                            | 1300         | Jul CPI (YoY%)                    | 2,3     | 1,9      |
| Taiwan                     | 1600         | Jul Unemployment Rate (%)         | -       | 3,3      |
|                            | 1620         | Jul M2 Money Supply (YoY%)        | -       | 8,1      |
| Thailand                   | 1100         | Jul Exports (YoY%)                | -       | 20,8     |
|                            | 1100         | Jul Imports (YoY%)                | -       | 50,3     |
|                            | 1100         | Jul Trade Balance (USD bn)        | -       | -6,5     |
| <b>Tuesday 25 August</b>   |              |                                   |         |          |
| Japan                      | 1300         | Jun Leading Indicator Final       | -       | 116,4    |
| Hong Kong                  | 1630         | Jul Imports (YoY%)                | -       | 45,4     |
|                            | 1630         | Jul Exports (YoY%)                | -       | 53,4     |
| Taiwan                     | 1600         | Jul Industrial Output (YoY%)      | 23,3    | 23       |
| South Korea                | 0500         | Aug Consumer Confidence           | -       | 106,8    |
| <b>Wednesday 26 August</b> |              |                                   |         |          |
| India                      | 1930         | M3 Money Supply (YoY%)            | -       | 14,7     |
| Singapore                  | 1300         | Jul Industrial Output (MoM%/YoY%) | -/-     | -7.2/7.2 |
| Thailand                   | 1500         | Rate Decision (%)                 | -       | 1        |
| <b>Thursday 27 August</b>  |              |                                   |         |          |
| Philippines                | 1300         | Jul Budget Balance (PHP bn)       | -       | -264,3   |
|                            | 1500         | Rate Decision (%)                 | 5       | 4,75     |
| South Korea                | 0900         | Rate Decision (%)                 | CF: 3   | 2,75     |
| China                      | 0930         | Industrial profits (YoY%)         | -       | 15,1     |
| Philippines                | 1430         | Rate Decision (%)                 | 5       | 4,75     |
| <b>Friday 28 August</b>    |              |                                   |         |          |
| Japan                      | 0730         | Aug Tokyo Core CPI (YoY%)         | CF: 1,7 | 1,9      |
|                            | 0730         | Aug Tokyo CPI (YoY%)              | CF: 1,9 | 2        |
|                            | 0730         | Jul Unemployment Rate (%)         | -       | 2,5      |
| India                      | 1830         | Jul Industrial Output (YoY%)      | -       | 7,3      |
|                            | 1930         | FX Reserves (USD bn)              | -       | 707      |
| Malaysia                   | 1500         | Jul M3 Money Supply (YoY%)        | -       | 6,7      |
| Philippines                | 0900         | Jul Imports (YoY%)                | -       | 19,6     |
|                            | 0900         | Jul Exports (YoY%)                | -       | 24,1     |
|                            | 0900         | Jul Trade Balance (USD bn)        | -       | -4,9     |
| Thailand                   | 1200         | Jul Industrial Output (YoY%)      | -       | -3,1     |

Note : CF = Market consensus forecast data

## Author

### Deepali Bhargava

Regional Head of Research, Asia-Pacific

[Deepali.Bhargava@ing.com](mailto:Deepali.Bhargava@ing.com)

### Lynn Song

Chief Economist, Greater China

[lynn.song@ing.com](mailto:lynn.song@ing.com)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose

possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

Article | 20 August 2026

RATES SPARK

## Rates Spark: Data for the EUR belly

The latest volatility in long-end US yields has left the EUR side largely unimpressed. But we look to Friday's data, not so much to challenge the near-term hike discount, but with regard to whether the European Central Bank will be able to back track its tightening in any meaningful way further down the road



Any downside surprise to the eurozone PMIs could help the belly of the curve recover somewhat

### With markets firm on upcoming ECB hikes, data might impact the belly more

While US 10y Treasuries have spanned a range of more than 11bp over the past three sessions, 10y Bund yields have remained remarkably sticky just above the 3.25% level, spanning a range of merely 3bp.

While certainly there has been a focus on the US side of things around the US Treasuries actions, it is also partly down to an absence of EUR specific data and events. The picking up of issuance and ongoing concerns around energy and geopolitics are factors to explain elevated yields if we had to lay a finger on it, but they have not really added volatility looking at the traded ranges.

There has been somewhat more movement on the front end, and if anything, this is where the end of the week could now see more volatility with the release of the flash PMIs, and the ECB's consumer inflation expectations survey. The consensus points to marginal weakening in the PMIs, but not to the degree that would really challenge the current rate hike discount. Any

downside surprise, though, might help the belly of the curve recover somewhat.

What we have seen since the summer is that data on balance has come in better despite the challenging backdrop. Alongside persistent energy concerns, this has helped put relatively more upward pressure on the belly of the curve. By now, the market has basically shed its hopes for any meaningful backtracking of the ECB tightening further down the road – the 1m OIS out 2 years is at the same level as 1m OIS out 1 year. Since around mid-March, the 2y forward had been consistently below the 1y forward apart from three very brief episodes.

### Friday's events and market view

The data calendar is busier as the market eyes the release of the flash PMIs. In the eurozone, the consensus is looking for a marginal drop in the composite from 52 to 51.7, which would still leave it in expansionary territory. In terms of other releases for the eurozone, consumer confidence in August, surveyed by the Commission, is seen remaining at subdued levels. Consumer inflation expectations for July, surveyed by the ECB, are seen unchanged at 3% over the 3-year horizon. Second quarter negotiated wages in the eurozone are seen somewhat lower at 2.4%.

In the US we will also be watching the PMIs. While seen weakening as well, they are still more solidly in expansionary territory with the composite index only seen coming down to 53.9.

### Author

**Benjamin Schroeder**

Senior Rates Strategist

[benjamin.schroeder@ing.com](mailto:benjamin.schroeder@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

## THINK economic and financial analysis

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).



Article | 20 August 2026

POLAND

## Poland's economy enters the third quarter on an uneven footing

Poland's economy ended 2Q26 on a strong footing, but July brought a softer picture of activity. Solid industrial performance was accompanied by a surprising decline in construction output. We think the peak of the current economic cycle may already be behind us, but we still expect robust growth in the second half of the year and GDP to expand by 3.4% in 2026



Poland's growth may have peaked in the second quarter, but we still expect GDP growth of 3.4% in 2026

### Industry continues to perform strongly

Industrial output increased by 5.1% year-on-year in July, slightly exceeding market expectations. Growth was nevertheless weaker than in June, when output rose by 7.4% YoY, supported by a favourable calendar effect and a low reference base in many manufacturing divisions.

Production of capital goods increased at a double-digit pace, rising by 11.1% YoY, while intermediate goods output also recorded strong growth of 6.3% YoY. This points to solid investment momentum as projects financed under the National Recovery and Resilience Plan continue to gather pace.



Particularly strong growth was reported in the manufacture of other transport equipment, where output rose by 31.5% YoY. Production of computer, electronic and optical products increased by 21.0% YoY, while the manufacture of machinery and equipment expanded by 17.3%.

Declines were recorded in the manufacture of tobacco products, down 10.6% YoY, furniture, down 3.3%, and textiles, down 2.5%. The furniture and textile industries have come under increasing pressure from Asian imports in recent quarters.

### **Construction activity less compelling**

The positive picture from industry was somewhat undermined by disappointing construction data, with output falling by 2.4% YoY in July. In June, declines in building construction and specialised construction activities were more than offset by surging civil engineering output. In July, however, activity weakened across the board, with output falling in all three main construction segments.

This picture appears inconsistent with the signs of strengthening investment activity suggested by the composition of industrial production and rising expenditure under the National Recovery and Resilience Plan. Statistics Poland indicated that the July figures were distorted by the irregular timing of post-completion settlements, which could provide a boost to output data in the coming months.

### **The peak of the cycle may be behind us, but solid growth should continue**

Somewhat surprisingly, despite continued geopolitical tension in the Middle East, second quarter 2026 may have marked the peak of the current economic cycle. Matching the quarter's 3.8% YoY GDP growth rate could prove difficult over the coming quarters. Nevertheless, we still expect GDP growth to run at around 3% YoY in the second half of 2026, resulting in full-year economic growth of 3.4%.

## Author

### Adam Antoniak

Senior Economist, Poland  
[adam.antoniak@ing.pl](mailto:adam.antoniak@ing.pl)

### Mateusz Sutowicz

Senior Economist, Poland  
[mateusz.sutowicz@ing.pl](mailto:mateusz.sutowicz@ing.pl)

### Leszek Kasek

Senior Economist, Poland  
[leszek.kasek@ing.pl](mailto:leszek.kasek@ing.pl)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

Article | 20 August 2026

POLAND

# Polish government announces fiscally neutral changes in income taxes

The government's tax proposals are to remove some unfairness in the tax system and are to be neutral to the budget: lower revenues from personal income taxes are to be offset by higher ones from corporate income taxes. But fiscal neutrality is not a remedy for an excessive 7% of GDP fiscal deficit, and financial markets are aware of it



Prime Minister Tusk and the Finance Minister announced new tax proposals that are meant to be neutral to the budget

## Government's tax proposals for 2027

At yesterday's press conference, Prime Minister Donald Tusk and Finance Minister Andrzej Domański presented the following proposals for tax changes in Personal Income Tax (PIT) and Corporate Income Tax (CIT):

- The first PIT threshold subject to the 12% rate is to be increased from PLN 120,000 to PLN 130,000.
- A new 24% tax rate is to be introduced for income between PLN 130,000 and PLN 150,000, while income exceeding PLN 150,000 will continue to be taxed at 32%.
- The so-called solidarity levy on income above PLN 1 million is to be increased from 4% to 5%.
- The CIT rate for companies with annual revenues exceeding €50 million, as well as for tax capital groups, is to go up from 19% to 22%. The new rate will be close to the current

EU average.

- The revenue threshold for businesses using the lump-sum tax regime is to be reduced from the current €2 million to €250,000 from 2027 onwards.

Prime Minister Tusk said that the general government deficit must not exceed 7% of GDP in 2027. Being asked about the 2023 election promise to increase the tax-free allowance in PIT from PLN 30,000 to PLN 60,000, Tusk said that increasing it before 2028 was unlikely, although the government had not abandoned the idea. Minister of Finance and Economy Andrzej Domański gave his reassurance that the proposed measures are intended to be fiscally neutral. Both the PM and MinFin explained that the PIT changes are crafted to make the tax burden fairer.

### Who is to gain, who is to lose

The main beneficiaries of the proposed PIT changes will be middle-income households, while large companies will bear additional costs through higher CIT. The changes are expected to affect 3.5 million taxpayers, generating annual savings of up to PLN 3,600 per taxpayer. Higher-income households and big companies will bear the associated fiscal cost.

### Our opinion on the economic effects

A positive aspect of the proposals is that they are designed not to generate any additional deficit, demonstrating that the government recognises the lack of fiscal space for further widening of the budget imbalance. In the superficial public debate during recent weeks, some proposals were alarming – they were counted in tens of PLN billion. Hence, the minimum condition to assure fiscal stability was met.

However, the downside is that the authorities continue to postpone unpopular decisions regarding the necessary consolidation of public finances, resulting in the continued rapid accumulation of public debt. So, the sufficient conditions to exit from the excessive deficit were not met, and in contrast to the announced medium-term fiscal path from this spring, fiscal consolidation is not envisaged from 2027 onwards. A deficit of 7% of GDP is not an appropriate benchmark to show this effort. Rather, we believe a 3% of GDP deficit threshold in the EU is a more adequate yardstick for comparisons.

On the structural side, in our view, the increase in the CIT rate will have a negative impact on the valuations of Polish companies and may discourage medium-sized businesses from scaling up their operations. Higher CIT will also reduce the attractiveness of Poland for foreign capital and may even encourage some investors to reduce their exposure to the country. Also, Polish businesses may be more inclined to shift operations to places where corporate taxes are lower.

Overall, the proposed tax changes appear more appropriate for a country with a sound fiscal position, to avoid distortions and improve justice, yet they do not address the problem of the

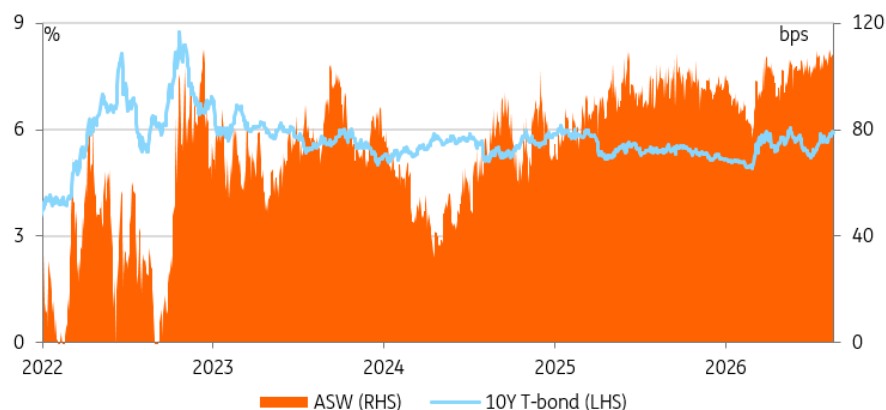
excessive general government deficit, which is to be the highest in the EU this year. The head of the Fiscal Council, Sławomir Dudek, commented that the neutrality of the new tax package is preferable to making further unfunded promises. But he stressed that any additional budget revenues should not be distributed immediately given that the deficit is excessive.

### Financial market reaction

Financial markets are now awaiting the draft budget bill for the next year, due later this month. In our opinion, any further deterioration in the fiscal outlook would be met with a negative reaction in the domestic bond market and upward pressure on T-bond yields. A budget-neutral tax package did not trigger such a reaction. Nevertheless, Poland's 10Y bond yields remain at elevated levels, similar to those in May this year, but due to different reasons (not because of expectations of higher interest rates).

Naturally, global factors on core fixed-income markets have added to the pressure on the Polish T-bonds market in recent weeks. However, domestic factors play a role too. Fiscal risks in Poland have been priced in already from late 2022, but the credit spread between 10Y bonds and 10Y IRS recently widened to even 109 basis points. Investors do not expect any meaningful fiscal consolidation to start in Poland before the general elections in autumn 2027, but a major fiscal adjustment will become an urgent and strategic task for the new government.

### Polish 10Y T-bond yield (in %) and credit spread (in bp)



Source: ING calculations based on EIKON data

## Author

### Adam Antoniak

Senior Economist, Poland  
[adam.antoniak@ing.pl](mailto:adam.antoniak@ing.pl)

### Leszek Kasek

Senior Economist, Poland  
[leszek.kasek@ing.pl](mailto:leszek.kasek@ing.pl)

### Mateusz Sutowicz

Senior Economist, Poland  
[mateusz.sutowicz@ing.pl](mailto:mateusz.sutowicz@ing.pl)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

Article | 20 August 2026

FX

# FX Daily: Introducing the Bessent Put in Treasuries

For many years, the market spoke of a Greenspan Put in equity markets, where investors were protected from much lower stock prices by the assumption that the Fed would cut rates. Yesterday's intervention in the Treasury market suggests the recent rise in longer-dated yields has touched a raw nerve. Risk assets are enjoying this more activist US Treasury



Washington's intervention in the bond market is welcomed by risk assets and is weighing on the dollar

## ↓ USD: Investors greet a more interventionist Treasury

While increasing liquidity buy-back operations by \$2bn might seem like rearranging deckchairs on the Titanic given the US national debt of \$40tr, yesterday's intervention by the US Treasury has been warmly greeted by investors around the world. As ING's Padhraic Garvey [writes](#), this [unscheduled announcement](#) tells us the Treasury's displeasure with the recent sell-off at the long end of the bond market. Clearly, a more structural solution such as fiscal consolidation is required for a more sustainable recovery in the bond market, but news that the US Treasury is going to be more vigilant about the long end has been welcomed.

The 10bp drop in longer-dated US yields has lifted equities and seen the dollar soften,



especially against high-beta currencies such as the Norwegian krone, New Zealand dollar and Swedish krona. The Bessent Put – or someone to watch over the US Treasury market – reduces one of the key threats to risk assets this summer and should see carry trade strategies remaining popular.

At the same time, the [minutes of the July FOMC meeting](#) were not particularly hawkish and short-dated US yields actually fell 5bp after the release. This all leaves the dollar in a flat/lower pattern consistent with a 'Risk-on, Dollar-off' investment environment – EMFX typically does well at times like these.

For today, the US data calendar is light, and we will hear from two Federal Reserve hawks: Mary Daly, who voted for a hike in July, and Alberto Musalem, a non-voter.

DXY unexpectedly broke down from its 99.40-100.00 range yesterday and can probably drift lower to 98.65. The next stop would be 98.00 should risk assets build another leg higher on this more activist US Treasury.

*Chris Turner*

### ↑ **EUR: Pro-cyclical currencies get a boost**

EUR/USD broke higher yesterday on the US Treasury news, which could usher in a slightly more encouraging, or at least stable, investment environment. Ever-higher natural gas prices in Europe remain a worry, but investors are thinking about another bearish dollar leg emerging, with EUR/USD playing its part.

Behind the scenes, foreigners are also buying a lot of eurozone debt and equities. Data released by the European Central Bank yesterday showed that foreigners have bought around €1.1tr of eurozone securities over the last 12 months. And June saw the largest ever monthly purchases of debt at €200bn. Thus, the bullish euro narrative of diversification away from the US remains present.

Yesterday's US intervention has brought EUR/USD close to our end-September target of 1.17. Resistance at 1.1700 may be a tough nut to crack in the short term, but if so, 1.1790 beckons. Support may be found as close as 1.1650/60. Also, a reminder that we consider European asset managers [underhedged](#) on their US investments.

*Chris Turner*

### → **SEK: Riksbank unlikely to turn too hawkish**

Sweden's Riksbank meets to discuss interest rate policy today. No change is expected to the 1.75% policy rate. There is no new Monetary Policy Report and therefore no new forecasts. This probably means that June's assumption of a rate hike towards the end of the year remains



valid. The market prices a 25bp hike for the November meeting.

It is not clear that the Riksbank needs to sound a lot more hawkish today – and doing so would be a surprise given the September meeting is priced at just a 40% chance of a hike. While a pro-risk environment is good for the krona, its risk-adjusted carry is quite low by G10 standards, and we doubt it should lead the charge against a weaker dollar. Overall, we have a 10.90 EUR/SEK target for end-September, but doubt EUR/SEK needs to move much today.

*Chris Turner*

### **CNY: Authorities happy to allow a stronger yuan**

USD/CNY continues to trade lower as authorities deliver lower fixings and the yuan participates in this mini-renaissance for Asian FX. We discussed the Korean won in this space [yesterday](#). The onshore USD/CNY is trading at its lowest levels since February 2023 and looks intent to test the 6.69 area, which we see as the lower end of this year's trading range. Driving these yuan gains, we presume, are Chinese exporters who have found increasing confidence in the yuan while losing confidence in the dollar.

The move will be well appreciated by the US Treasury as part of the [Mar-a-Lago mindset](#).

*Chris Turner*

### **Author**

#### **Chris Turner**

Global Head of Markets and Regional Head of Research for UK & CEE  
[chris.turner@ing.com](mailto:chris.turner@ing.com)

#### **Francesco Pesole**

FX Strategist  
[francesco.pesole@ing.com](mailto:francesco.pesole@ing.com)

#### **Frantisek Taborsky**

EMEA FX & FI Strategist  
[frantisek.taborsky@ing.com](mailto:frantisek.taborsky@ing.com)

### **Disclaimer**

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“ING”) solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to

## THINK economic and financial analysis

purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

Article | 20 August 2026

COMMODITIES DAILY

# The Commodities Feed: Oil advances as US tightens pressure on Iran

Oil prices extended their rally amid growing concerns over tighter US sanctions on Iran



The EIA's latest weekly inventory report showed US commercial crude oil inventories rising for the third consecutive week, marking the highest level since May

## Energy – EIA reports surprise increase in crude inventories

Oil extended its rally for a fifth consecutive day after US President Donald Trump announced measures to intensify economic pressure on Iran. ICE Brent climbed above \$92/bbl, while NYMEX WTI traded above \$86/bbl on Thursday morning, supported by concerns over tighter sanctions enforcement. Trump also warned of tougher economic penalties for entities supporting Iranian economic activities, signalling a further escalation in US efforts to isolate Iran.

The EIA's latest weekly inventory report showed US commercial crude oil inventories increased by 4.4m barrels to 428.8m barrels, marking a third consecutive weekly build and the highest level since May. This contrasted sharply with API's reported 328k barrel draw and market expectations for a 74k barrel decline. Meanwhile, the Strategic Petroleum Reserve fell by 5.3m barrels, leaving total US crude oil inventories down by a modest 0.9m barrels.

The commercial stock build was driven by higher domestic supply despite strong export

demand and lower imports. Crude exports rose by 1.01m b/d week-on-week to 4.07m b/d, while imports fell by 746k b/d to 6.59m b/d. Refinery activity remained robust, with crude throughput increasing by 216k b/d and utilisation rates rising to 97.2%, close to seasonal highs. Strong refining margins continue to incentivise refiners to maximise run rates.

Refined product inventories showed a mixed picture. Gasoline stocks increased by 0.69m barrels to 209.4m barrels, while distillate inventories fell by 1.5m barrels to 105.6m barrels. The decline in distillate stocks was driven by lower imports and reduced domestic production, tightening supply in the US market. Middle distillate markets remain relatively tight, supported by resilient international demand and ongoing supply constraints across key exporting regions.

### **Metals – Copper squeeze eases as LME stocks rise**

Tightness in the copper market eased after more than 35kt of metal was added to available LME inventories yesterday, following an increase of over 20kt in the previous session. The cash-to-three-month spread narrowed to a backwardation of \$176/t, from as much as \$545/t on Monday. However, continued tightness at the very front of the curve suggests the squeeze has not fully run its course. The market remains vulnerable after months of inventory outflows, driven partly by the diversion of metal to the US ahead of expected tariffs. We expect copper prices to remain supported by tight physical supply, although further inventory inflows could ease near-term pressure and trigger additional volatility.

Meanwhile, data from China's National Bureau of Statistics showed refined copper production rose 1.3% year-on-year to 1.3Mt in July, supported by higher sulphuric acid by-product prices, which boosted smelter margins and encouraged increased operating rates. Elsewhere in the base metals complex, lead output fell 7.3% YoY to 580kt, while zinc production edged down 0.8% YoY to 629kt over the same period.

The US and Canada are reportedly discussing cutting tariffs on certain Canadian aluminium and steel shipments to 25% from 50% as part of a tentative trade deal. Details remain under negotiation, including possible exemptions and product-specific rates.

The move would offer some relief to US aluminium consumers. Canada is the largest supplier of primary aluminium to the US, which remains heavily reliant on imports to meet demand. A lower tariff should put downward pressure on the US Midwest premium and reduce costs for downstream manufacturers, although tight global supply and uncertainty over the deal's scope may limit the decline. Canadian steel would also become more competitive in the US, potentially weighing on domestic steel prices.

### Agriculture – White sugar premium hits multi-year high amid supply concerns

The white-to-raw sugar premium widened to around US\$154/t, its highest level since March 2024, reflecting increasingly tight supply conditions. Both raw and white sugar prices strengthened after reports that India could cut or remove its 100% sugar import duty to boost domestic availability. Concerns over supply have intensified as monsoon rainfall during the June-September period is running 13% below average. White sugar has also outperformed raw sugar, supporting refining margins, amid weather-related declines in European beet sugar production.

In addition, disruptions in the Strait of Hormuz have constrained refining activity in the Middle East, while higher energy and freight costs have provided further support to white sugar prices.

#### Author

##### Ewa Manthey

Commodities Strategist

[ewa.manthey@ing.com](mailto:ewa.manthey@ing.com)

##### Warren Patterson

Head of Commodities Strategy

[Warren.Patterson@asia.ing.com](mailto:Warren.Patterson@asia.ing.com)

#### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of

## **THINK economic and financial analysis**

the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

Article | 7 August 2026

COMMODITIES, FOOD &amp; AGRI

## Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test



Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

Copper is trading above \$14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

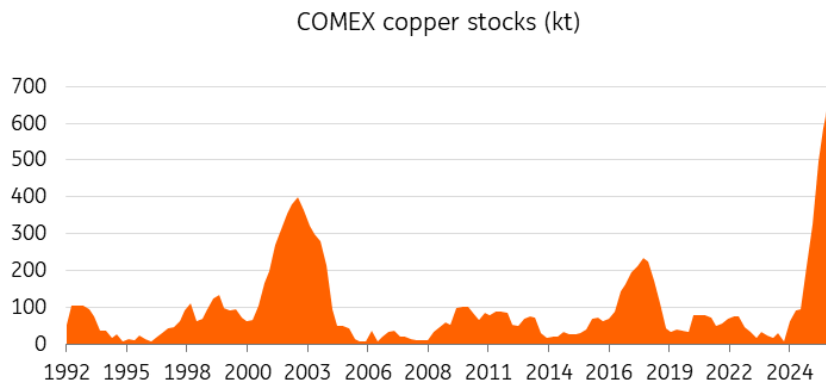
In our June note, [What's next for US copper import tariffs?](#), we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

### Tariff expectations remain a key market driver

Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

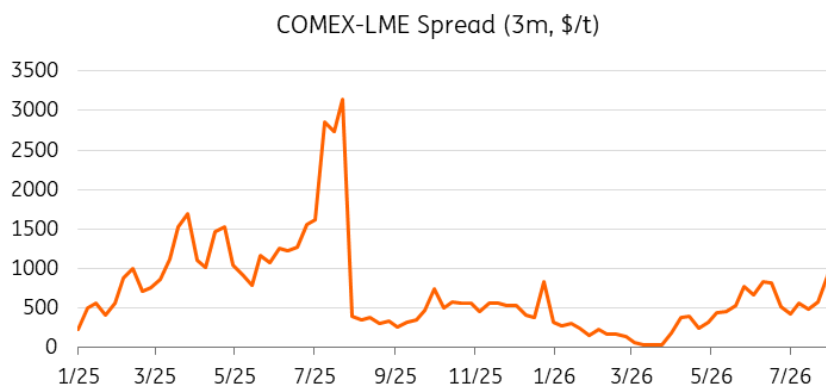


## COMEX inventories reach record highs



Source: COMEX, ING Research

## Wide COMEX-LME spread continues to attract copper into the US

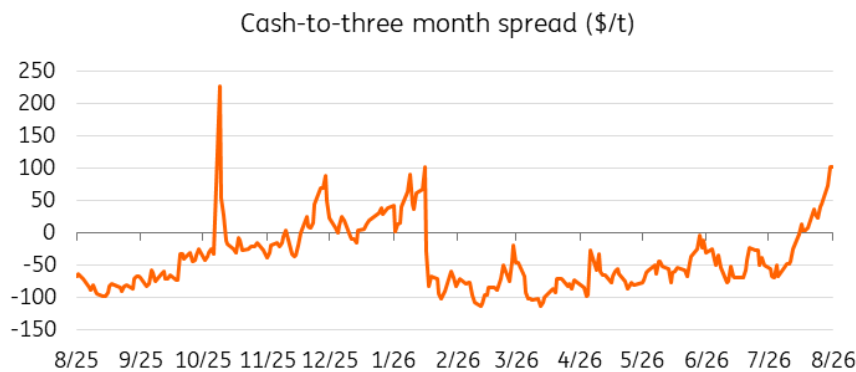


Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around \$120/t backwardation – up from about \$40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.



## Nearby copper market tightens



Source: LME, ING Research

## LME inventories continue to decline



Source: LME, ING Research

## Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

### The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

#### Author

**Ewa Manthey**

Commodities Strategist

[ewa.manthey@ing.com](mailto:ewa.manthey@ing.com)

#### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).